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GOVERNMENT SCHEMES



Gurkirat Sir

CREDIT GUARANTEE FUND TRUST FOR MICRO & SMALL ENTERPRISES (CGTMSE)


Credit Guarantee
Scheme

- Launch: 2000
- Nodal Ministry: Ministry of Micro, Small and Medium Enterprises
- **Credit Guarantee Fund Trust for Micro and Small Enterprises(CGTMSE)**
  - Established by **Ministry of MSMEs and Small Industries Development Bank of India (SIDBI)**
  - Corpus of CGTMSE contributed by Government of India and SIDBI in ratio of **4:1**
- Aim: To make available **collateral-free credit** to micro and small enterprise sector(MSEs) by providing **credit guarantee to Member Lending Institutions (MLIs)**
- Eligible Activities
  - New and existing Micro and Small Enterprises engaged in manufacturing or service activity **excluding Agriculture, Self Help Groups (SHGs), etc**

- Eligible Lending Institutions
  - **Scheduled commercial banks** (Public/Private Sector Banks/Foreign Banks) and select Regional Rural Banks
  - **NBFCs, Small Finance Banks (SFBs), Scheduled Urban Co-operative Banks, Microfinance Institutions**
  - **National Small Industries Corporation Ltd. (NSIC), North Eastern Development Finance Corporation Ltd. (NEDFi) and SIDBI**

- Fund and non-fund based (Letters of Credit, Bank Guarantee etc.) **credit facilities up to ₹5 crore** (earlier ₹2 crore) per eligible borrower

Category (including Trading activity)	Maximum extent of Guarantee Coverage where guaranteed credit facility is		
	Upto ₹ 5 lakh	Above ₹ 5 lakh & upto ₹ 50 lakh	Above ₹ 50 lakh & upto ₹ 500 lakh
Micro Enterprises	85%	75%	75%
MSEs located in North East Region (incl. Sikkim, UT of Jammu & Kashmir & UT of Ladakh)	80%		
Women entrepreneurs / SC/ST entrepreneurs / Person with Disability (PwD)/ MSE promoted by Agniveers / MSEs situated in Aspirational District/ ZED certified MSEs	85%		
All other category of borrowers	75%		

- **Tenure of guarantee cover - 5 years** (or as specified)
- For **settlement of claims in respect of guarantees for loan outstanding upto ₹10 lakh(earlier ₹5 lakh), initiation of legal proceedings not required**

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Home Work Question

Q. Consider the following statement with respect to the credit Guarantee Fund Scheme for Micro and Small Enterprises (CGMSE), choose the correct one?

1. For settlement of claims in respect of guarantees for loan outstanding upto ₹10 lakh(earlier ₹5 lakh), initiation of legal proceedings not required.
2. Established by Ministry of MSMEs and State Bank of India (SBI).
3. Corpus of CGTMSE contributed by Government of India and SIDBI in ratio of 4:1

A. 1 Only

B. 2 Only

C. 1 and 3 only

D. 3 Only

E. None of the Above

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Home Work Question from Previous Session

Q. Consider the following statement with respect to the Bima Sakhi Yojana?

1. Women selected for the program will receive specialized training and a stipend for three years to promote financial literacy and insurance awareness.
2. It aims to reach under-penetrated areas by appointing one Bima Sakhi per Gram Panchayat.
3. A stiphened of Rs 6,000/month will be given in first year of the scheme.

A. 1 and 2 Only

B. 3

C. 1 and 3 only

D. 1 Only

E. None of the Above

Answer: Option A

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